When Trouble Travels: Peer Effects of Criminal Exposure in Schools

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Abstract

A child's peers are an important determinant of their performance at school. While a large literature documents the adverse effects of exposure to disruptive peers on educational outcomes, little is known about the impact of being exposed to a peer with a criminal background. Using rich administrative data linking criminal justice and education records for nearly the entire population of school students in England, I study whether and to what extent criminal behavior spreads within schools through exposure to juvenile offenders. I exploit the plausibly exogenous timing of school transfers by students with a criminal record and find that exposure increases an exposed student's probability of starting a criminal career by 12.9% within four months of the transfer, with effects persisting for three years. These peer effects generate approximately 20 million pounds in social costs, equivalent to 5% of the total social cost of youth crime in England. The effects vary substantially across school characteristics, which means that reassigning transferring offenders across schools could reduce the volume of crime induced by peer exposure by 36% under reasonable assumptions. Exposure also reduces educational attainment. Approximately one-third of this decline reflects a direct effect of exposure, while the remaining two-thirds operate through the exposed student's subsequent engagement in criminal behavior.

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